POTENTIAL DANGERS OF QE

QE is a relatively new strategy so its effects are hard to measure. It is therefore still not known whether it can stimulate the economy without excessive risk.

The economy may not fail to respond as expected even to very large amounts of new money being created.

Inflation may occur due to high money supply – although it is unlikely to lead to hyperinflation.

Banks don't always pass on the money to businesses in need, but hoard it or invest it elsewhere.

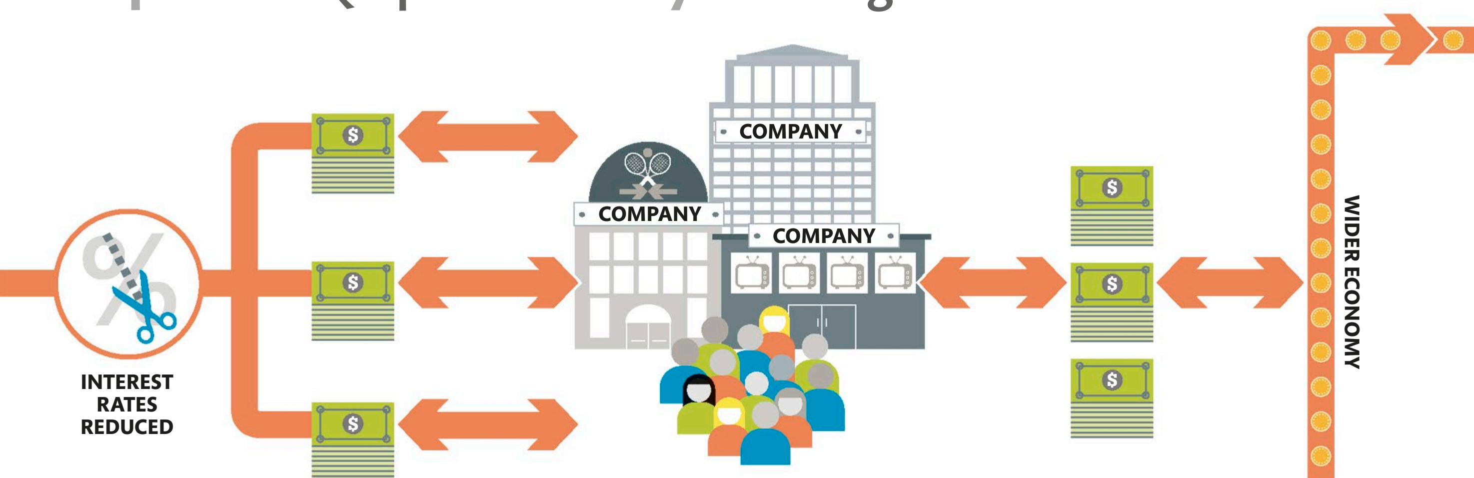
CASE STUDY

UK

The UK began a QE programme in early 2009, after interest rates were cut to almost zero. Most of the new money has been used to purchase government debt. The effects of QE depend on sellers passing on the money that they receive from selling assets, and banks investing the additional liquidity they obtain. The Bank of England believes QE has boosted growth, but at the cost of higher inflation and increasing inequality of wealth, as prices rise.

US$3.5 trillion

spent on QE purchases by the US government



Increased reserves reduce interest rates *(see pp.100-101)*, leading individuals and businesses to borrow more.

Individuals and businesses use loans to buy goods and services and to invest in businesses.

Increased spending and business investment boosts economic activity.